BEFORE THE NATIONAL COMPANY LAW TRIBUNAL

ALLAHABAD BENCH, ALLAHABAD

Company Petition No. 67/ALD of 2019
With
Company Application No. CA(CAA) No.421/ALD of 2018
(Under Section 230 &232 of the Companies Act, 2013)

In the Matter of:

1. **Champion Infraprojects Private Limited** a company incorporated under the provisions of Companies Act, 1956 (CIN: U70102UP2010PTC042364) and having its Registered Office at C-22, 3rd Floor, ROC, Raj Nagar, Ghaziabad, Uttar Pradesh-201002

.....Petitioner Company No.1
(Transferor Company)

WITH

2. **Landcraft Developers Private Limited** a company incorporated under the provisions of Companies Act, 1956 (CIN: U45201DL2005PTC132131) and having its Registered Office at Parmesh Corporate Towers, 309, 3rd Floor, Plot No. 13, Karkardooma Community Centre, Delhi-110092

.....Petitioner Company No.2
(Transferee Company)

ORDER DELIVERED ON: 28.01.2021

CORAM:

Hon'ble Mr Justice (Retd.) Rajesh Dayal Khare, Hon'ble Member (Judicial)

For the Petitioners: Shahid Kazmi, Adv.

For the Official Liquidator: Kuldeep Singh, AOL

For ROC: Krishna Dev Vyas, Adv.

For IT Department: Gaurav Mahajan, Sr. Standing Counsel

ORDER

Per se: Mr. Justice (Retd.) Rajesh Dayal Khare, Member (Judicial)

—Sd—

1. The Present Petition is filed by Petitioner Companies under Sections 230 & 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 for sanction of Composite Scheme of Arrangement of **Landcraft Developers Private Limited** (Petitioner Transferee Company) & **Champion Infraprojects Private Limited** (Petitioner Transferor Company) and their respective Shareholders and Creditors (hereinafter referred to as "Composite Scheme of Arrangement"). **(A copy of the Scheme has been annexed and marked as Annexure 1 to the Company Petition No. 67/ALD of 2019)**

2. The proposed "Composite Scheme of Arrangement" has previously been approved by the Board of Directors of the Petitioner Companies in their respective Board meetings held on 21.05.2018 and 08.08.2018.

3. The factual position of the Authorized, Issued, Subscribed and Paid up share Capital of the Petitioner Companies as on 1st April,2018 are same as produced in the First Motion Order dated 23.01.2019.

4. The Rationale of the proposed Composite Scheme of Arrangement is elaborately described in the present Company Petition which may be summarized as under:

a. The transferor company is the closely held subsidiary company of Transferee Company and are under common shareholding, management and control.

—Sd—

b. The proposed merger of the respective business of the Transferor company into the Transferee company would enable consolidation of the entire real estate Business of these companies into one single entity.

c. The proposed merger will streamline the holding structure of Transferee Company and simplify the corporate structure.

d. It will impart better management focus, will facilitate administrative convenience and will ensure optimum utilization of various resources by these companies.

e. The proposed merger will strengthen, consolidate and stabilize the business of these Companies and will facilitate further expansion and growth of their business in a more scientific manner.

f. The proposed Scheme would enhance the shareholders' value of the Transferor and Transferee Companies.

g. The said Scheme of Arrangement will have beneficial impact on the Transferor and the Transferee Companies, their shareholders, employees and other stakeholders and all concerned.

h. With a view to achieve greater management focus and keeping in mind the paramount and overall interest of the shareholders, the Board of Directors of the Transferor and the Transferee Companies considered that a Scheme of Arrangement would be the most appropriate methodology.

5. The Applicant has stated that the accounting treatment proposed in the Scheme of Amalgamation is inconformity with the accounting standards prescribed under section 133 of the Companies Act, 2013. Certificates from the respective Statutory Auditors of the Applicant Company has been filed along with the Application.



6. It has also been stated in the Petition that none of the Directors of the Petitioner Companies have any material interest in the Scheme, save as except to the extent of Shareholding in the abovementioned Petitioner Companies.

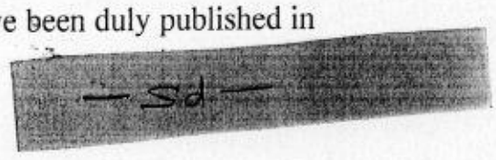
7. It has also been stated in the Petition that the Scheme is not prejudicial to the interest of the Shareholders and Creditors of the Petitioner Companies and the Petition is made *bonafide* and is in the interest of all the Petitioner Companies and their Equity Shareholders, Secured Creditors and Unsecured Creditors as a whole and is also just and equitable.

8. It is submitted that, the Transferor Company have neither issued nor agreed to issue any debentures. Further stated, there are no proceedings pending inquiry of investigation in respect of the Transferee Company.

9. A perusal of the present Petition discloses that initially the Petitioner Companies had filed Company Application No. CA(CAA) / 421 / ALD / 2018 seeking approval to Scheme of Arrangement along with the Application seeking dispensation with the requirements of calling and holding meetings of Equity Shareholders, Unsecured Creditors of the Transferor Company which was allowed by this Tribunal vide order dated 23.01.2019.

10. This Hon'ble Tribunal vide its Order dated 07/03/2019 directed to issue notice of hearing to the Statutory Authorities and also to make paper publication in this respect in English Newspaper "Indian Express" and Vernacular daily newspaper "Jan Satta".

11. In compliance thereof, the Petitioner Companies have filed Affidavit of service and publication, confirming that notices have been duly published in



English Newspaper "Indian Express" and Vernacular daily newspaper "Jan Satta". The Petitioner Companies has duly served notices to (a) the Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Kanpur; (c) the Official Liquidator, Allahabad; (d) the Income-Tax Departments having jurisdiction over the Petitioner Companies.

12. In response to the above stated notice, the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi having received a Report from the Registrar of Companies, Uttar Pradesh, Kanpur filed its representation through an affidavit, wherein it has not raised any objection against the Composite Scheme of Arrangement.

13. In response to the above stated notice, the Official Liquidator, Ministry of Corporate Affairs, Allahabad, Uttar Pradesh has also submitted its report through a representation/affidavit, wherein it has stated that it has no objection to the dissolution of the Transferor Company without winding up pursuant to provisions of Sections 230 & 232 of the Companies Act, 2013 and other applicable sections and rules thereunder.

14. The Income-Tax Department had filed its representation stating that the Petitioner i.e. Champion Infra Projects Private Limited has been filing its return of income since its incorporation and upto AY-2019-20. Further, no proceedings are pending against Champion Infra Projects Limited. Thus, the Income-Tax Department has no objection on the Composite Scheme of Arrangement of the Petitioner Companies.

—Sd—

15. I have gone through the reports of the Ld. Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi, Ld. Registrar of Companies; Uttar Pradesh, Kanpur, Ld. Official Liquidator; Ministry of Corporate Affairs, Allahabad, Uttar Pradesh and Income-Tax Department. After perusing the same, this Tribunal is of the view that the sanction of the present Scheme is not against public policy, nor it would be prejudicial to the public interest at large.

16. In addition to above, all the statutory compliance seems to have been complied with by the Petitioner Companies. Therefore, the present Company Petition deserves to be allowed in terms of its Prayer clause.

17. In the result, the proposed Composite Scheme of Arrangement which is annexed to the Company Petition stands approved and sanctioned. Petitioner Companies are required to act upon as per terms and conditions of the sanctioned Scheme and the same to be binding on its Shareholders, Secured Creditors and Unsecured Creditors of the above named Petitioner Companies and also on the Petitioner Companies with effect from the Appointed Date i.e. 1st day of April, 2018.

18. While approving the said Composite Scheme of Arrangement as above, it is clarified that this order should not be construed as, in any way, granting exemption from payment of stamp duty (if any, is applicable), taxes (including Income Tax, GST or any other charges, if any, are applicable) and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law. Also,



the Petitioner Company No. 1 shall stand dissolved without undergoing the process of winding up.

19. The Petitioner Companies shall within thirty days from the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration.

20. All the concerned Regulatory Authorities to act on a copy of this order annexed with the Scheme duly authenticated by the Assistant Registrar, National Company Law Tribunal, Allahabad Bench.

21. Leave is granted to the Petitioners to file the Schedule of Assets.

22. Any person interested shall be at liberty to apply before this Tribunal in the above matter for such directions as may be necessary.

23. Accordingly, the present Company Petition bearing CP No. 67/ALD of 2019 is allowed and stands disposed off.

— Sd —

JUSTICE RAJESH DAYAL KHARE
MEMBER (JUDICIAL)

Dated: 28.01.2021

Shefali Vats
(LRA)